

7271.T pitch deck

PITCH — 7271.T — VERDICT

PROPOSED — PENDING ADJUDICATION

What we believe

Yasunaga Corporation (7271.T, Tokyo Stock Exchange “Standard” segment) is a ~¥8.5bn market-cap Japanese auto-parts maker that also sells environmental equipment (in-sink food-waste disposers, air pumps) and industrial machinery. Revenue is ¥33.95bn. The stock is ¥821, down 38.9% from its 52-week high of ¥1,344 and up 28.5% from its 52-week low of ¥639.

We believe three things, and only three:

1. **The company’s own full-year forecast is very likely too high, and will be cut.** The first quarter (reported 2026-08-06) delivered ¥124M of operating profit against a ¥2,000M full-year forecast — 6.2% of the year in the first quarter. Annualizing that run-rate gives roughly ¥496M. Closing a gap that size in three quarters would require the rest of the year to be four times better than the first. No plausible seasonal shape does that. ([Q1 earnings release, 2026-08-06](#))
2. **We do not know whether ¥821 already reflects that cut** — and neither bench could establish it, because the name has no located analyst coverage at all. There is no outside estimate to disagree with. Every valuation we produce is graded against our own arithmetic.
3. **The answer is sitting in documents we have not read.** The annual securities report filed 2026-06-24 contains the share count, treasury shares, interest-bearing debt, and segment assets. The quarterly release contains the line-by-line bridge explaining why ¥124M of operating profit became ¥5M of net income. Both are published. Neither bench opened them. That is not a market mystery; it is unfinished homework.

Our honest position today is **flat, with a defined path to a small starter** — not because the stock is uninteresting, but because we have not earned an opinion yet.

What the market believes

There is no articulated market view. We could not locate a single sell-side operating-profit estimate for the coming fiscal year. For a company this size on the Standard segment, that is normal, and it means the tape is the only statement anyone is making.

What the tape says: the stock gapped down 20.76% on 13x normal volume, then ground back up 28.5% off the low. The most defensible reading is that holders who wanted out got out in one session, and the marginal buyer since then is buying a 4.63% dividend yield and a 0.58x price-to-book ratio — not a

recovery forecast. Nobody is paying for an earnings rebound at this price, and nobody is pricing a solvency problem either. It is a “cheap and forgotten” quote, not a distressed one.

Note the asymmetry this creates: with no coverage, the argument “the market already knows” has no evidence behind it. But so does the argument “the market is wrong.” An orphan stock is not automatically mispriced. It is just unpriced.

Why we might have edge

- **Nobody is looking.** Zero located coverage, ~\$225k/day of total dollar volume. If there is a discoverable fact here, we would be discovering it, not re-discovering it.
- **The published Japanese-language filings are readable and unread.** Five years of first-quarter-to-full-year profit progression, the debt schedule, and segment assets are all in the annual securities report. Reading it is work, not insight — but on a name this small, work is a real source of advantage.
- **One specific question looks decisive and answerable.** Operating profit of ¥124M became net income of ¥5M. That is ~¥119M of drag below the operating line in a single quarter. If it is a one-off (currency, a tax item, a minority-interest charge), then the scariest number in the bear case — “first-quarter net income was 0.4% of the full-year net forecast” — is an artifact, and the operating shortfall is much smaller than the headline. If it is recurring, the situation is worse than the operating line suggests. We do not know which, and neither did either bench.
- **The dividend may be sturdier than the headline implies.** Working from the company’s own guidance figures (¥1,300M net income, ¥126.17 earnings per share), the implied share count is ~10.3M, so the ¥38 dividend costs ~¥391M a year. Against ¥6.8bn of cash that is ~17 years of coverage; against a halved-earnings year (~¥700–950M net) it is a 41–56% payout — covered by earnings even at a trough. That is a different picture from “the dividend is the first thing to go.”

Why it might be priced in

- **A 38.9% drawdown is a lot of bad news already absorbed.** The market marked this stock down hard on the print. We would be arriving eleven sessions late with the same public information.
- **The book-value discount may be a leverage artifact, not a margin of safety.** Working backward from the 0.58x price-to-book: implied equity ~¥14.6bn against total assets of ¥42.25bn means roughly ¥27.6bn of liabilities and a ~35% equity ratio. If a large share of that is interest-bearing debt, then “0.58x book” describes a thin, levered slice of the balance sheet, and cheapness on that measure is exactly what you would expect. **This is the single most important number we have not pulled.**
- **The cheapness may be correctly pricing a shrinking business.** The machinery segment swung to a ¥94M operating loss on sales down 59.8%. That is the same setup that produced the casting-business exit and write-down in October 2025 ([disclosure, 2025-10-17](#)). Asset-heavy carrying value inside a loss-making segment is a write-down candidate, not a floor.

- **The apparent bright spot is concentration, not diversification.** Environmental equipment operating profit rose 162.5% to ¥99M — meaning roughly 80% of company-wide operating profit now comes from about 17% of sales, off a small ¥38M base. One soft quarter there takes the whole company's operating profit negative. (In fairness, the reverse also holds: parts profit is at ¥103M against a ¥352M base a year ago, so a mean-reversion there is equally leveraged. It is a two-sided base effect, and our own red bench printed only one side of it.)

What could go wrong

(Pre-mortem, written before any position exists.)

Failure 1 — the one with no tripwire we can build: we never see the customer loss coming.

This thesis ultimately turns on which car programs Yasunaga supplies, which of those are at end-of-model-life, and whether the replacement programs are won or lost. A Japanese domestic supplier shipping to Japanese domestic automakers generates **no US customs records** — the entire shipment-tracking layer we normally use for supplier attribution reads nothing. We also have no Japanese retail or spec-in velocity feed to test whether the environmental-equipment profit is durable. There is no monitor we can arm for either. We would learn that a major program moved to a competitor when the company tells us, one to three quarters after it happened, in a scheduled release we were already going to read.

The unknown-unknown class here is **evidence-starved jurisdiction / un-instrumentable counterparty concentration**: a thesis whose central variable lives entirely outside our data coverage, where the absence of alarms is not evidence of safety because no alarm exists. We should assume that if this goes wrong via customer concentration, we find out at the same time as everyone else and at the same price.

Failure 2 — the balance sheet turns out to be the story. We buy a 0.58x book-value discount, the annual report shows heavy interest-bearing debt against ¥27.6bn of total liabilities, the machinery segment gets written down, and the equity slice we thought we were buying at a discount was thin to begin with. The dividend then gets cut to protect the balance sheet, and the yield support that holds the stock at ¥821 disappears. *Tripwire exists but is one-shot, not continuous*: reading the 2026-06-24 annual securities report closes this before we buy. There is no ongoing monitor after that — a debt covenant tightening would not surface until a filing.

Failure 3 — the ordinary one: it is a value trap and simply drifts. The forecast gets cut, the stock returns to ¥639 and keeps going, and with no analyst coverage there is no mechanism by which anyone re-rates it. We hold a 5% yield on a slowly shrinking industrial while the index compounds. *Tripwire exists*: a dividend-forecast revision disclosure, and a second consecutive quarter of negative parts-segment operating profit.

The reflexive / structural leg — how our own participation makes this worse. - Our size is meaningful relative to the tape. One percent of average daily volume is about **\$2,252/day**. A 0.5%-of-book position (~\$5.2k at our current book, the same unit used for our last 0.5% sizing) is **~2.3 sessions of buying at our own liquidity cap** — and that is the *entry*, which is the easy direction. - **The only deep liquidity this stock has ever shown was the -20% gap session.** In other words,

the price at which we can transact real size is the price at which we would least want to be selling. An exit under stress is not a 2.3-session exercise; it is a “hit whatever bid appears” exercise. This alone caps the position at 0.5% of book and forbids market orders. - **We would be buying into the exact window we predict everyone else sells.** Our plan is to buy after the half-year forecast cut lands. So is everyone else’s, if they are paying attention. We should expect to be one of the few visible bids in a thin book on a bad-news day — which sounds like an advantage and is actually how you get filled at the top of a two-day slide. - **We cannot see the order book.** IBKR returns Error 354 — no Tokyo market-data entitlement. Every limit we set would be priced off **delayed public quotes**. Our ladder is structurally stale, which in a wide-spread micro-cap means we systematically pay the wrong side. - **Doctrine pulls in two directions here, and we should name it.** Our house default is that when an adversarial review produces no named objection, we take a minimum starter rather than sit out — silence should not become an unexamined “no.” That default does **not** apply here: the review produced two specific, named objections (machinery-segment write-down risk, profit concentration in a small segment), so flat is a decision, not a shrug. Separately, our rule that a fairly-priced risk is ownable requires fairness to be *verified* — and with zero external coverage there is nothing to verify fairness against today. This name cannot qualify as a fairly-paid-risk holding until we build our own anchor from the annual report.

If this position loses money, the most likely reason will be that the 0.58x book value we treated as downside protection was a thin, levered equity slice sitting on top of ¥27.6bn of liabilities and an asset-heavy segment already losing money — a number we could have checked before buying and did not.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Q1 operating profit = 6.2% of full-year forecast (vs 11.1% a year ago) proves a shortfall	Tried our seasonality tool and the US regulator’s structured-financials API	Both failed. No US filer record exists — this is a Tokyo-listed company with no US registration. We have one prior year as a comparison, which is not a seasonal base rate.	No — coverage gap. Direction is right (a 4x gap is not a seasonal shape), magnitude is un-benchmarked. Fixable: the annual securities report carries five years of the same progression.
Our own red bench treated a tool failure as an evidentiary dead end	Blue bench cross-check	Red reported “no data” when the Japanese-language annual report contains exactly the series required. Neither bench pulled it.	Bench error, confirmed. This is the recurring “infrastructure failure that looks like a negative result” mistake.
Stripping the ¥455M deferred-tax benefit gives a “real” prior-year	Compared the two primary disclosures directly (2026-04-17 deferred tax + forecast)	The adjustment was one-sided — it removed a non-cash gain from that year while leaving that same year’s write-down charge in.	Method flaw confirmed. But red got the consequence backwards.

Claim	How checked	Found	Confirmed?
EPS of ¥137.4, so the new guide is only -8.2%	revision vs 2025-10-17 casting exit + impairment)		Normalizing both directions pushes prior-year recurring EPS <i>above</i> ¥137.4, which makes the ¥126.17 guide a <i>bigger</i> like-for-like step down — i.e. a lower bar to clear, which cuts toward the bull case, not away from it. Red labelled this a kill; it is a footnote. The size of the write-down charge remains unverified, so we know the direction and not the magnitude.
“The dividend is the most cuttable line — Q1 net income was 0.4% of the net forecast”	Did the payout arithmetic red skipped	~10.3M shares implied; ¥38 dividend ≈ ¥391M/year; ~17 years of cover against ¥6.8bn cash; 41–56% payout even in a halved-earnings year.	Bench error, confirmed. Red annualized <i>one quarter’s net income</i> (¥5M → ~¥20M/yr) as if it were a run-rate. That is not a payout test. Downgraded from “the bull case is broken” to “watch it at the half-year mark.”
“Up 28.5% off the low, so there’s no dislocation”	Reviewed the logic	Distance from an arbitrary 52-week low says nothing about whether ¥821 misprices forward earnings. It is tape shape, not value.	Overtaken. Red also tagged this finding “consensus” — impossible on a stock with zero located coverage; there is no consensus to agree with.
“Management has never revised guidance off-cycle for operating weakness, so a mid-October entry is a month early”	Checked Japanese disclosure rules against the company’s disclosure feed	Red’s classification is correct — the two off-cycle revisions were a business exit with write-down and a deferred-tax recognition, both discrete events. But “zero base rate” overstates it: Japanese rules require a revision when forecast operating profit deviates ~30% or sales ~10%, disclosed once management closes the half — early-to-mid October for a September 30 half-end. The 2025-10-17 disclosure <i>is</i> that cadence.	Partly confirmed, materially reduced. And note what it argues about: red spent its declared strongest kill on the <i>date of a negative catalyst neither bench proposes trading into.</i>
0.58x price-to-book, 4.63% yield, ¥126.17 EPS	Cap-structure pull	Not done. Share count, treasury shares, restricted stock all unread.	No. Mitigating: every Japanese quarterly

Claim	How checked	Found	Confirmed?
			release prints book value per share with treasury already netted — this is one line away, not unobtainable.
Total liabilities ~¥27.6bn / ~35% equity ratio (blue bench's biggest finding)	Derived arithmetic from guidance figures	~10.3M shares × ¥821 = ~¥8.5bn cap; ÷0.58 ⇒ ~¥14.6bn equity; vs ¥42.25bn total assets.	No — derived, not read. Our own blue bench's caveat is the important one: this entire chain hangs off one input (guidance EPS ÷ guidance net income). If the share base differs, <i>every</i> number above moves, including the finding blue called the most load-bearing in the case. Labelling it “derived” was correct; treating it as established would not be.
Position is “actionable either way”	Volume check + broker entitlement	1% of average daily volume ≈ \$2,252/day. IBKR Error 354 — no Tokyo market-data entitlement; we would price off delayed public quotes.	Confirmed entering, refuted exiting. Binds size to ≤0.5% of book, limit orders only.
Any external valuation anchor exists	Estimate search	None located for a ¥6bn Tokyo Standard micro-cap.	Confirmed absent. Cuts both ways — it undercuts “the market has this right” exactly as much as it undercuts our own fair value.
Dividend withholding rate we would actually receive	Not tested	10% treaty vs 20.315%/20.42% domestic — roughly 48 basis points of the yield.	No. Resolves on the first dividend settlement.
Pattern detectors (fraud archetypes, permits, app reviews, clinical, lockups)	14–20 detectors run across both benches	None fired. Two returned “ cannot check ” rather than “clean”: customer attribution and Japanese consumer-product velocity.	Confirmed as a gap in our own tooling, not a clean bill of health. Both benches contested the coverage ruling on this point and both were right to.

PROPOSED ENTRY BANDS

Both benches land on FLAT. There is no entry today at ¥821 and no order to place. What follows are the **reopen bands** — the conditions and prices at which this becomes actionable.

Three data gates must clear before any bid, in this order. All three are published-document reads, not market events:

1. **Annual securities report (有価証券報告書, filed 2026-06-24)** — interest-bearing debt, segment assets, share count and treasury. *Kill condition:* if net debt is large enough that the 0.58x book discount is a levered stub rather than a cushion, this file closes permanently and we do not revisit on price.
2. **The Q1 operating-profit-to-net-income bridge, itemized** — what consumed ¥119M below the operating line. *Kill condition:* if it is recurring rather than one-off, the trough earnings case (¥700–950M net) is wrong and the dividend coverage math above collapses with it.
3. **Book value per share from the quarterly release** — validates or breaks the 0.58x figure in one line.

Timing gate: buy **after** the half-year forecast revision or the second-quarter results print, **never into either**. Japanese disclosure rules require a revision once management closes the half at September 30, which historically lands **early-to-mid October**; the scheduled second-quarter release is ~**mid-November** (both **unconfirmed** — the company has posted no earnings-date announcement). The cut is a known negative catalyst. There is no reason to own it in advance.

Price ladder (all levels derived from the benches' own arithmetic; the ¥38 dividend and ~¥1,416 derived book value per share are the two anchors):

Tranche	Limit	What the price represents	Size
1	¥760	5.0% dividend yield; ~0.54x derived book; ~8.2–11.2x trough earnings (¥68–92 EPS)	0.2% of book
2	¥690	5.5% yield; ~0.49x derived book	0.15% of book
3	¥640	~5.9% yield; ~0.45x derived book; retest of the ¥639 52-week low	0.15% of book

- **Maximum total position: 0.5% of book (~\$5.2k at current book size — re-derive at execution).** This is a hard ceiling set by liquidity, not by conviction.
- **Execution: limit orders only, ≤1% of average daily volume per session (~\$2,252/day).** A full 0.5% position is a minimum of ~2.3 sessions to build. Tokyo trades in board lots (standard 100 shares — **verify for this name before sizing**), so ~900 shares ≈ 9 lots at current prices and FX.
- **No market orders, ever.** We have no live Tokyo book; our quotes are delayed.
- **Tranches 2 and 3 are staged only on a fill of the prior tranche.** Never pre-staged — this is an undated, event-driven situation.
- **Exit / trim:** none defined. We hold no position, and defining exits for a position gated on three unread documents would be theater. Exits get written when tranche 1 fills.

- **Upside abandonment: ¥1,000.** If the stock recovers above ¥1,000 before we complete the document work, the discount that motivated the look is gone. Close the file rather than chase.

Catalyst dates (both unconfirmed): half-year close **2026-09-30**; rule-triggered forecast revision window ~**2026-10-15**; second-quarter results ~**2026-11-13**.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 640.0 (deck-provisional: ~5.9% yield, ~0.45x derived book, retest of the JPY639 52-week low — tranche 3, staged only on a tranche)
- dated pack 7271.T|2026-09-30: 7271.T: first-half close — the measurement date that triggers Japan's mandatory guidance-revision test; derived from the FY2027/3 fiscal lab
- dated pack 7271.T|2026-10-15: 7271.T: approximate center of the rule-triggered guidance-revision window (the 2025-10-17 revision landed in this same window); no company a
- dated pack 7271.T|2026-11-13: 7271.T: approximate 2Q/interim results date, ~mid-November; no 決算発表予定日 posted on the company's disclosure feed (date confirmed=False)

What remains unverified

Blocking (must close before any bid): - Interest-bearing debt and the composition of the ~¥27.6bn liability estimate. Derived, never read. - Segment assets — specifically what carrying value sits inside the loss-making machinery segment. - The ¥119M of below-the-operating-line drag in Q1. - Share count, treasury shares, restricted stock. Every per-share figure in this deck inherits this uncertainty, including the ~10.3M-share estimate that the leverage math is built on. - Book value per share as reported (validates or breaks 0.58x).

Material but non-blocking: - Five-year first-quarter-to-full-year profit progression — the seasonal base rate that would tell us whether 6.2% is genuinely abnormal. - The size of the FY2026/3 write-down charge. We know normalizing it raises the prior-year comparison; we cannot say by how much. - Whether the machinery-segment-to-casting-exit analogy holds. Machinery is order-lumpy and may not be asset-heavy. Untested by either bench. - Any dated new-program start-of-production schedule for the end-of-model-life products. If the mid-term management plan names dates, that is the strongest thing that could happen to this thesis. - Dividend withholding rate actually applied (~48bp of the yield). - The second-quarter earnings date. No company announcement posted. - Whether Tokyo's standard 100-share board lot applies to this name.

Structurally unverifiable with current tooling: - Which automaker programs Yasunaga supplies and their replacement status. - Durability of the environmental-equipment profit between quarterly prints.

Bench conviction: red 8/10 on rejecting; blue 6/10 that “flat is right but red's reasoning was wrong.” Both agree on flat. Neither found a reason the *stock* is uninvestable — they found reasons *we* have not

done the work.

```
{"price_gates": [{"level": 760.0, "direction": "below", "basis": "5.0% yield on the JPY38 dividend, ~0.54x derived book, ~8-11x trough EPS – tranche 1, only after the H1 revision prints and all three document gates clear"}, {"level": 690.0, "direction": "below", "basis": "5.5% yield, ~0.49x derived book – tranche 2, staged only on a tranche-1 fill"}, {"level": 640.0, "direction": "below", "basis": "~5.9% yield, ~0.45x derived book, retest of the JPY639 52-week low – tranche 3, staged only on a tranche-2 fill"}, {"level": 1000.0, "direction": "above", "basis": "book-value discount that motivated the look is gone before we finished the document work – close the file, do not chase"}], "event_gates": [{"forms": ["\u6709\u4fa1\u8a3c\u5238\u5831\u544a\u66f8 (annual securities report, filed 2026-06-24)"], "why": "interest-bearing debt, segment assets, share count and treasury – closes the three blocking unknowns and the leading pre-mortem failure mode"}, {"forms": ["\u696d\u7e3e\u4e88\u60f3\u306e\u4fee\u6b63 (guidance revision)"], "why": "rule-triggered at ~30% OP / 10% sales deviation once the half closes – this is the mark-down we refuse to buy into"}, {"forms": ["\u914d\u5f53\u4e88\u60f3\u306e\u4fee\u6b63 (dividend forecast revision)"], "why": "the 4.63% yield is the only thing visibly supporting the price; a cut invalidates the entry ladder outright"}, {"forms": ["\u6e1b\u640d\u640d\u5931 (impairment loss)"], "why": "machinery segment at -JPY94M OP on sales -59.8% is the same setup that produced the 2025-10-17 casting exit and write-down"}, {"forms": ["\u6c7a\u7b97\u77ed\u4fe1 (quarterly earnings release)", "\u6c7a\u7b97\u767a\u8868\u4e88\u5b9a\u65e5 (earnings date announcement)"], "why": "carries book value per share with treasury netted, the OP-to-net bridge, and confirms the currently unconfirmed 2Q date"}], "catalyst_dates": [{"date": "2026-09-30", "what": "first-half close – the measurement date that triggers Japan's mandatory guidance-revision test; derived from the FY2027/3 fiscal label, not from a company calendar", "confirmed": false}, {"date": "2026-10-15", "what": "approximate center of the rule-triggered guidance-revision window (the 2025-10-17 revision landed in this same window); no company announcement exists", "confirmed": false}, {"date": "2026-11-13", "what": "approximate 2Q/interim results date, ~mid-November; no \u6c7a\u7b97\u767a\u8868\u4e88\u5b9a\u65e5 posted on the company's disclosure feed", "confirmed": false}], "immediate_entry": null}
```